

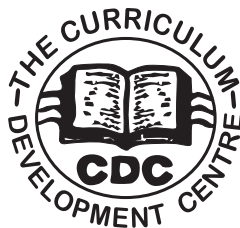


Republic of Zambia
Ministry of Education

PRINCIPLES OF ACCOUNTS

TEACHING MODULE

FORM 1 – TERM 2



Developed by the Curriculum Development Centre
Lusaka
2025

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First Published 2025 by
Zambia Educational Publishing House
Light Industrial Area
Chishango Road
P.O. Box 32708
Lusaka, Zambia

Printed by:
Zambia Educational Publishing House (ZEPH)

Table of Contents

Authors.....	iv
Coordinators.....	iv
Typesetter/Graphic Designer	iv
Preface.....	v
Acknowledgement.....	vi
Introduction.....	vi
Icons used in this Module.....	viii
1.5 TOPIC: BOOKS OF PRIME ENTRY	1
1.5.1 Sub – Topic – Types of Books of Prime Entry	1
1.5.2 Sub – Topic 1 –Types of Books of Prime Entry – Purchases Day Book.....	17
1.5.3 Sub-Topic: Types of Books of Prime Entry - Purchases Returns Day Book.....	29
BIBLIOGRAPHY	38
APPENDIX 1: SAMPLE LESSON PLAN.	39

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The **Curriculum Development Centre** would like to extend its sincere appreciation to the following coordinators for their exceptional leadership, tireless dedication, and outstanding contribution to our efforts.

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Preface

The Principles of Accounts Teaching Module for Form 1 Term 2 has been developed to provide a continuation from **the Principles of Accounts Teaching Module** for Form 1 Term 1. This Module has been designed to support teachers to effectively deliver Principles of Accounts lessons under the new curriculum. The module aims to bridge the gap created by the absence of approved textbooks and to equip teachers with practical activities, and assessments tailored to the learners' level and needs.

The Ministry understands the challenges that come with transitioning to a new curriculum framework. This module reflects the commitment to making this journey as smooth as possible for teachers, by providing structured guidance, suggested activities, and assessments that align with the CBC's objectives. However, we also encourage teachers to supplement this module with their own research and innovations to address any gaps that may arise during implementation.

The suggested activities and assessments provided in this module are designed to foster practical and critical thinking skills in learners while ensuring relevance and adaptability to different school contexts. Teachers are encouraged to tailor these suggestions to their unique classroom dynamics and to explore alternative, acceptable approaches when necessary.

We hope this module will serve as a valuable resource for teachers as they implement the new Competence-Based Curriculum, enhancing their ability to inspire and equip learners with knowledge, skills and values.



Kelvin Mambwe (PhD)
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MINISTRY OF EDUCATION

Acknowledgement

The Principles of Accounts Teaching Module for Form 1 term 2 has been developed through a consultative and participatory process. Teachers and lecturers from Colleges of Education were accorded an opportunity to be part of the development of this teaching module. We would, therefore, like to express our profound gratitude to all, for this technical input to the successful development of this teaching module.

Finally, we appreciate the commitment and hard work of the staff at the Curriculum Development Centre in ensuring the successful completion of the module development process.



Charles Ndakala, (Dr.)

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MINISTRY OF EDUCATION

INTRODUCTION

The Principles of Accounts Teaching Module for Form One Term 2 comprise content that has been sequenced to create a link with the **Principles of Accounts Teaching Module for Term 1**.

The suggested learning activities are designed in such a way as to promote cognitive and technical skills of the learners. You should therefore ensure that learners are actively engaged in the learning activities as stipulated in the module for mastery of the competences.

The module provides:

- Proposals of learner centred teaching methodology. However, you are free to explore other learner centred methodologies to suit your local environment as well as available resources.
- An example of how a learning activity can be conducted to support Competence-Based Curriculum.
- Content Tips to provide knowledge for the learning activity.
- Examples of class exercises and homework assignments suitable for Competence Based Curriculum

ICONS USED IN THE MODULE



Summary



Key Terms



Assessment



Tips



Learning Activity



Discussion



Methodology

1.5 TOPIC: BOOKS OF PRIME ENTRY

Introduction

Books of Prime Entry are Books of Accounts used for recording different types of Business Transactions from the various source documents. These books are also called Subsidiary Books, Day Books, Journals or Books of Original Entry.

Books of Prime Entry are important because they provide accurate records, help in financial reporting and enable financial analysis.

General Competences

- ☐ Analytical Thinking
- ☐ Communication
- ☐ Critical Thinking
- ☐ Entrepreneurship
- ☐ Financial Education
- ☐ Problem Solving

1.5.1 Sub – Topic – Types of Books of Prime Entry

Introduction

Books of Prime Entry are Books of Accounts used for recording different types of Business Transactions from the various source documents received or issued by the business when a transaction takes place, before posting to the Ledger. They include Purchases Day Book, Purchases Returns Day Book, Sales Day Book, Sales Returns Day Book, Cash Book (One Column Cash Book, Two Column Cash Book and Three Column Cash Book), Petty Cash Book and the General Journal. Each Book of Prime Entry records a group of similar transactions.

The following are the types of the Books of Prime Entry and their corresponding transactions:

S/N	BOOKS OF PRIME ENTRY		TYPES OF TRANSACTION RECORDED
1	Purchases Day Book		Goods bought on Credit for resale.
2	Purchases Returns Day Book		Goods bought on credit returned to suppliers.
3	Sales Day Book		Goods sold on credit.
4	Sales Returns Day Book		Goods sold on credit returned by customers.
5	Cash Book	One Column (<i>Either Cash or Bank Account</i>)	Cash or Bank receipts and payments.
		Two Column	Cash and Bank receipts and payments.
		Three Column	Cash and Bank receipts and payments with Cash Discounts.
6	Petty Cash Book		Small cash expenditures
7	General Journal		Transactions that cannot be recorded in any of the other Books of Prime Entry

Table 1

Note: Types of Books of Prime Entry as a sub topic should be taught by introducing each type of Book of Prime Entry with the activities stated in the syllabus. However, as the sub topic is being introduced, a general introduction of each Book of Prime Entry must be done.

Specific Competence

- ☐ Record Business Transactions in the Books of Prime Entry
- ☐ Post Business Transactions to the Ledger



KEY TERMS

- ☐ **Books of Prime Entry** – books in which business transactions are first recorded.
- ☐ **Source Documents** – these are documents that show proof of a transaction.
- ☐ **Purchases** – Purchases refer to the acquisition of goods, services or assets by a firm for resale
- ☐ **Trade Discount** – The reduction in the price of items on the gross invoice price or list price for bulky buying.
- ☐ **Credit Purchases** – these are goods bought on credit from suppliers for resale.



LEARNING ACTIVITIES

- ☐ Identifying Books of Prime Entry
- ☐ Explaining Books of Prime Entry
- ☐ Stating the Source Documents for each Book of Prime Entry.
- ☐ Entering Business Transactions in the Subsidiary Books
- ☐ Posting Transactions to the Ledger
- ☐ Extracting the Trial Balance

Note: The underlisted learning activities are interrelated and may be taught at the same time.



LEARNING ACTIVITIES

1. Identifying Books of Prime Entry
2. Explaining Books of Prime Entry

Methodology

Suggested Methodology (Discussions and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:



METHODOLOGY

Group Discussion

Teacher's Role

- ☐ On a chart, draw a table as shown in Table 1 above, showing types of Books of Prime Entry and their corresponding transactions recorded in each one of them.
- ☐ Display the chart in class.
- ☐ Give learners the following scenario and let them answer the questions that follow:
ACE Suppliers Limited is a small electronic wholesaler, whose transactions for the month of March 2025 are shown below:

March 1	Sold goods on credit to Mapalo worth K40,000.00.
10	Bought Office Equipment by cash K50,000.00.
11	Bought goods on credit from Lushomo worth K30,000.00.
17	Mapalo returned goods worth K10,000.00 as damaged.
20	Returned goods to Lushomo worth K18,000.00 as wrong order.
22	Sold an old Motor Vehicle which was used by the business on credit to Chimwanga at K25,000.00.
25	Withdrew cash from the bank for business purposes K4,000.00.
27	Paid for Envelopes by cash K20.00
28	Paid K15,000.00 for Rent by cheque.
29	Received a cheque of K30,000.00 from Mapalo, less 5% cash discount.
31	Paid Lushomo K12,000.00 by cash less K1,000.00 cash discount.

With the aid of the chart displayed above:

- a) Identify the Book of Prime Entry in which each of the above transaction will be recorded.
 - b) Explain each of the Books of Prime Entry identified in (a) above.
- ☐ Clear any misconceptions after the learners have done their presentations.

Learners to:

- ☐ Discuss the two questions in their respective groups.
- ☐ Summarise key points.
- ☐ Make presentations.

Note: Let the learners do the following tasks or any other similar tasks in line with Competence Based Curriculum

Proposed Tasks for Assessment.

Task 1

Imagine you are a new Accounts Assistant at a growing company. As part of your role, you need to ensure that all financial transactions are recorded in accordance with a clear understanding of the Books of Prime Entry.

Your Finance Manager has tasked you to identify and explain the Books of Prime Entry that the company must use to maintain accurate and organised records. The company's transactions include cash and credit sales, cash and credit purchases among others.

Given the Company's nature your task is to:

1. Identify the Books of Prime Entry that the Company should use for the following types of transactions:
 - Credit Sales
 - Cash Sales
 - Credit Purchases
 - Cash Purchases
 - Receipts from Customers by cash
 - Payments to Suppliers by cheques
2. Explain the purpose of each Book of Prime Entry and the types of transactions recorded in each of them.

Task 2

QMD Enterprise is a Small-Scale Retailer dealing in various merchandise. They had a challenge of identifying where each of the transactions must be recorded and furthermore failure to understand the Books of Prime Entry. As a Business and Finance Learner, you have been asked to identify where each transaction should be recorded and to explain each of the identified Books of Prime Entry for the month of March 2025.

- March 2. Purchased goods worth K10 000.00 from PMX Suppliers on credit.
4. Sold goods by cash worth K12 000.00.
8. Bought a Motor Vehicle on credit worth K70 000.00.
15. Paid cash for 1 tin of Cobra for K100.00.
20. Sold goods on credit to RAD General Dealers worth K45 000.00
24. Returned goods to PMX Suppliers worth K2 000.00 as underweight.
26. RAD General Dealers returned goods worth K5 000.00 as wrong colour.

Task 3

You have been employed as an Accounts Clerk for Executive Motor Spares, a well known supplier of motor spares which had not been recording their business transactions. As their new Employee, you have been tasked to identify the Book of Prime entry used in each of the following statements.

- a) Cash discount is shown in the ...
- b) Suppliers of goods and services on credit are recorded in the...
- c) Cash payment of a bus fare for a Sales Representative is recorded in the...
- d) Transactions that involve receipt of payment by cheque from a customer is recorded in the...
- e) A record of dissatisfaction of goods or services by our credit customer is recorded in the...
- f) Transactions of all our bank receipts and payments are shown in the...

Task 4

B & J a Small Retailer started business on 1st January 2025 with Cash at Bank K4,000.00 and Cash in Hand K2,300.00 and wanted to be recording any business transaction that take place in the Books of Prime Entry but had no idea. As Learners studying Business and Finance, you are required to help the Retailer to identify Books of Prime Entry to use for each business transactions shown below and to explain the importance of using Books of Prime Entry.

January	3	Bought a Motor Bike on credit K12,000.00 from Melu Motors.
	5	Bought goods for Cash K1,900.00.
	6	Paid for Airtime K20.00 for communication purposes.
	8	Returned some goods bought on 5 th January for K550.00 as expired.
	9	Deposited K800.00 cash into the Bank
	11	Sold goods on credit to Miller Enterprise K900.00
	13	Ordered goods on credit K2,000.00 from KG Wholesalers.

Task 5

DTT is a Cooperative Society which has received funding from the Constituency Development Fund (CDF) for their poultry business. Unfortunately, the Cooperative did not employ a qualified Accountant to provide them with financial education, more so, on Books of Prime Entry and the types of Business Transactions recorded their in.

They have now organised a workshop and you have been invited as a Business and Finance Learner to explain to them on the types of Business Transactions that each of the following Books of Prime Entry records:

- Sales Day Book
- General Journal
- Sales Returns Day Book
- Purchases Day Book
- Petty Cash Book
- Purchases Returns Day Book
- Cash Book

TASK 6

- JNP Enterprise owns a small business dealing in various products. The following table was generated from her books at the end of February 2025 and JNP Enterprise didn't know in which book of Prime Entry the listed transactions would be recorded. As a Business and Finance Learner, you have been asked to identify and state where each of the shown transactions will be recorded.

S/N	Transactions	The book of Prime Entry
a)	Started business with Cash in Hand and Cash at Bank.	
b)	Bought goods from CMC Enterprise on credit.	
c)	Sold goods by cheque.	
d)	Deposited Cash into the Bank.	

e)	Returned goods to CMC Enterprise due to wrong colours	
f)	Sold goods on credit to EFB Traders.	
g)	Paid CMC Enterprise by cash less 5% cash discount.	
h)	EFB Traders returned goods to Business as damaged.	
i)	Paid for Water bill by cash.	
j)	Paid Cash for a packet of cleaning Detergent Paste.	

**LEARNING ACTIVITY 3****Stating the Source Document for each Book of Prime Entry****CONTENT TIPS****Source Documents**

Source Documents are written or printed records, which provide proof of a Business Transaction. Books of Prime Entry are prepared using source documents. They provide details for which Books of Prime Entry are to be prepared. The design of each document differs from one Business to the other, but all of them will contain similar information.

Importance of Source Documents

- They provide proof of occurrence of a transaction.
- They ensure correct and accurate details of a business transaction.
- They provide reference for entries of transactions into the Books of Prime Entry.
- They help in resolving disputes related to payments.

According to the syllabus the following are the Source Documents, their purpose and the corresponding Books of Prime Entry:

S/N	SOURCE DOCUMENTS	PURPOSE	BOOKS OF PRIME ENTRY
1	Original/Purchases/Top/Incoming Invoice	Issued to the buyer for goods or services bought on credit.	Purchases Day Book
2	Original Credit Note	Issued to the buyer when goods are returned and/or overcharged.	Purchases Returns Day Book
3	Copy/Duplicate/Sales/Outgoing Invoice	Retained by the seller for goods or services sold on credit.	Sales Day Book

4	Copy/Duplicate/ Credit Note	Retained by the seller when goods are returned and/or overcharged.	Sales Returns Day Book
5	Receipt	It is a proof of payment received by the buyer and it is issued by the seller.	Cash Book
	Cheque	It provides written evidence that payment has been received by an individual or firm.	
	Bank Statement	It is a document from the bank that shows all transactions in an account over a period, usually they are sent monthly.	
	Cheque Stabs	It is a part of the cheque book kept by the payer/drawer for record of payment.	
6	Petty Cash Voucher	It is a document used for small cash payments.	Petty Cash Book
7	It depends on the type of transaction. Different transactions that pass through the General Journal use different Source Documents.	To record transactions that cannot be recorded in any of the other Books of Prime Entry, because of their nature.	General Journal

Table 2

Examples of Source Documents are shown below:

INVOICE					
No.:0035 ABC Limited P O Box 630085 CHOMA				Cluga Limited P o Box 45623 KAFUE Date: 10 th March 2025	
ORDER NO. 320					
QUANTITY	DESCRIP- TION	UNIT PRICE		TOTAL	
		K	N	K	N
30	Boxes of reams of paper	600	00	18,000	00
100	Boxes of Bic Pens	240	00	24,000	00
10	53A HP Toner	2,000	00	20, 000	00
Gross Invoice Price				62,000	00
Less 10% Trade Discount				6,200	00
Net Invoice Price				55,800	
				00	
Terms: 5% one month, 2% two months, net three months, E & O E Prepared by:..... Sign:.....					

Note: It is a document used when goods and services are supplied on credit terms and it serves as a request for payment.

CREDIT NOTE

Cluga Limited

P o Box 45623

KAFUE**No. 0098****Date:** 15/03/2025

ABC Limited

P O Box 630085

CHOMA

Quantity	Description	Unit Price		Total Price	
		K	N	K	N
2	53A HP Toner	2,000	00	4,000	00
	Less: 10% Trade Discount			400	00
	Total Amount			3,600	00

Reasons: Defective**E & O E****Prepared by:**..... **Sign:**.....

Note: Credit note is a document issued by the business to the customer when it is agreed to accept the returns made by the customer by way of a debit note. The term credit note is useful as it indicates that we are to credit the personal account of the customer (i.e., reduce the amount owing to the business in an event that the customer has returned the goods we earlier supplied them).

DEBIT NOTE

ABC Limited
P O Box 630085
CHOMA.

No. 0054

Date: 13/03/2025

Cluga Limited
P o Box 45623

KAFUE

Quantity	Description	Unit Price		Total Price	
		K	N	K	N
2	53A HP Toner	2,000	00	4,000	00
	Less: 10% Trade Discount			400	00
	Total Amount			3,600	00

Reasons:

E&OE

Prepared by:.....

Sign:.....

Note: A Debit Note is a document issued by the buyer to the seller requesting the seller to reduce the total amount charged on an invoice due to a number of reasons and in response, the supplier issues a Credit Note acknowledging the return.

Cluga Limited

P o Box 45623

KAFUE

RECEIPT

No. 0876

Date : 29/03/2025Received with thanks from ABC LimitedSum of Kwacha forty nine thousand five hundred ninety only K49,590.00Being payment for : Stationery bought on 10/03/2025Received by: MutaleSignature: Mutale

Note: It is a document issued to a customer when payment is made. It also serves as proof of purchase and payment.

BANK STATEMENT

ADK BANK

P O BOX 638765

CHOMA

ACCOUNT NO.: 0000000111

ACCOUNT NAME: ABC Limited

BRANCH: CHOMA MAIN

BANK

CODE:00888

P O BOX 630085

CHOMA

PERIOD: FROM 1ST March to 31ST March 2025

DATE:31 March 2025

Date	Details	Debit		Credit		Balance	
		K	N	K	N	K	N
01/03/2025	Balance b/f					380,000	00
10/03/2025	Standing Order - Electricity	5,000	00			375,000	00
14/03/2025	Credit transfer - Dividend			25,000	00	400,000	00
29/03/2025	Cluga Limited	49,590	00			350,410	00

Note: It is a document issued by the bank showing all bank transactions.

ABC LIMITED
PETTY CASH VOUCHER

No. 016

Date : 03/04/2025

DETAILS/DESCRIPTION	AMOUNT	
	K	N
Taxi Fare	120	00
1Kg Sugar	35	00
TOTAL	155	00
Authorised by: Chimwemwe	Received by: Blessings	

Note: It is a document used to record small cash expenditures such as purchase of envelopes, pens, etc.

Discounts

It is the reduction in the price of goods or services. Discounts can be offered for various reasons such as for bulky buying and quick payment of debts.

The following are the types of discounts that will be used in the preparations of the Books of Prime Entry:

a) Trade Discount

It is the reduction in the list price of goods by a supplier when goods/services are sold to another for bulky buying and/or profit margin. It is normally a fixed amount or percentage deducted from the list price. Trade discount is used when calculating the net invoice price and as such, does not enter the accounting records.

The importance of trade discount to the supplier (seller)

- ☐ To encourage customers to buy in large quantities and well as make repeated purchases.
- ☐ To overcome competition from competing suppliers.

Importance to a business customer (buyer)

- ☐ To enable to resale their goods at competitive prices

b) Cash Discount

A cash discount is a reduction in the amount due on an invoice or payment. It is a reduction in price for prompt payment of debts.

There are two types of cash discounts:

- i) Discount Allowed – a type of cash discount allowed by a business to its customers when they pay their accounts promptly.
- ii) Discount Received – a type of cash discount received by a business from its suppliers when it pays what it owes them promptly.

Task 1

Mulu Wholesaler has been in business for the past five years dealing in second hand clothes, which are sold to several customers in bulk. On 3rd October 2024, the Wholesaler received a complaint from one of its customers who did not understand the amount indicated on an Invoice because of the Trade Discount charged. As a Wholesaler, you decided to send one of your workers to visit the customer concerned to clearly demonstrate the calculation of Trade Discount and amount to be paid based on the following item indicated on the Invoice earlier sent to the customer:

20 bales of Golf T-Shirts at a cost price of K 8, 000.00 per bale, with an allowance of 10% Trade Discount.

Solution

Step 1: Calculation of the total amount before Trade Discount.

$$= 20 \times \text{K}8,000.00$$

$$= \underline{\text{K}160,000.00}$$

Step 2: Calculation of Trade Discount

Trade Discount = Gross Invoice Price x Trade Discount

$$= \text{K}160,000.00 \times \frac{10}{100}$$

$$= \underline{\text{K}16,000.00 \text{ Trade Discount}}$$

Step 3: Calculation of how much the retailer will pay after a 10% Trade Discount

Net Invoice Price = Gross Invoice Price – Trade Discount

$$= \text{K}160,000.00 - \text{K}16,000.00$$

$$= \underline{\text{K}144,000.00}$$

Task 2

Nchimunya a retailer, has been buying goods in large quantity from Chalwe General Dealers who allows both Trade and Cash Discounts to be charged on the list price. The charging of Discounts to the list price has caused challenges to Nchimunya in understanding how the Supplier determines the amount to be paid. Based on the 10 Dresses bought at K200.00 each on 10 April, 2025 with 10% Trade Discount and a further Cash Discount of 5% if payment is made within two weeks. Now that payment was made within the credit period, as a Business, you have requested a qualified Person to calculate Trade and Cash Discounts in order to determine the amount paid.

Solutions

Step 1: Calculation of Cost of Dresses:

$$10 \text{ Dresses} \times \text{K}200.00$$

$$= \underline{\text{K}2,000.00}$$

Step 2: Calculation of Trade Discount:

$$\text{K2,000.00} \times \frac{10}{100}$$

= **K200.00 Trade Discount**

Step 3: Calculation of Cash Discount

Cash Discount = (Gross Invoice Price - Trade Discount) X Cash Discount

$$= (\text{K2,000} - \text{K200}) \times \frac{5}{100}$$

$$= \text{K1,800} \times \frac{5}{100}$$

= **K90.00 Cash Discount**

Step 4: Calculation of Amount Paid:

Amount to be paid = Net Invoice Price – Cash Discount

$$= \text{K1,800} - \text{K90}$$

= **K1,710.00**

Methodology

Suggested Methodology (Discussions and Research)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Group Discussions/Research

Learning Environment: Classroom

Teacher's Role

- ☐ Organise the various sample Source Documents (Invoice, Credit Note, Debit Note, Receipt, Bank Statement, Cheque Counterfoil, Cheque and Petty Cash Voucher...)
- ☐ On a chart, draw a table as shown in **Table 2** above, showing Source Documents, their purpose and corresponding Books of Prime Entry.
- ☐ Display the chart.
- ☐ Put learners in groups.
- ☐ Distribute the sample Source Documents to the groups.
- ☐ Ask the learners the following questions:
 - Identify each sample Source Document.
 - Match each Source Document with its Book of Prime Entry.
 - Explain the use of each source document.
 - State the content of each sample Source Document.
 - Filling in the Source Documents.
 - Explain the importance of each sample Source Document.

- ☐ Clear any learners' misconceptions after their presentations.

Learners to:

- Answer the questions in their respective groups.
- Make presentations.
- Summarise key points.

Proposed tasks for assessment.

Task 1

DMB a Small Retailer of various goods, has challenges in identifying the Source Document to use in recording Business Transactions in the Books of Prime Entry. The firm has requested you as a Business and Finance Learner, to help the them identify the Source Document to be used to prepare each of the followings Books of Prime Entry

- i. Purchases Day Book
- ii. Cash Book (Bank Column only)
- iii. Sales Returns Day Book
- iv. Petty Cash Book
- v. Purchase Returns Day Book
- vi. Cash Book (Cash Column only)
- vii. Sales Day Book

Task 2

KG Enterprise operates a small retail shop and offers cash and credit transactions but has problems in identifying source documents for each transaction that occur. The business owner invited two Business and Finance Learners from the nearby school to help identify the source document used for each of the following transactions that took place during the month of February 2025:

Feb	2	Received a cheque of K7,000.00 from Zima Limited.
	5	Bought goods on credit from PP Wholesaler K5,000.00.
	7	Paid cash for fuel K200.00.
	8	Returned goods bought on 5 th February as wrong order.
	18	Purchased a Motor Vehicle by cash K120,000.00.
	23	Sold good on credit to J & Sons K34,000.00.
	27	J & Sons returned goods for K8,000.00 as damaged in transit.

Task 3

Great Hope Holdings, is a company involved in selling Technological Equipment from various Suppliers. For the month of January, 2025, it managed to purchase and sell all the goods they bought. Unfortunately, they did not manage to record these transactions as they did not have the qualified personnel to link the Source Documents to the corresponding Books of Prime Entry.

You have been hired as a qualified Accountant to help them identify the document that would support each of the transactions below and give reasons to support your responses.

January 3. Internet Gurus bought Computers valued at K55,000 by cheque.

- 10. Computer Lads bought a Router valued at K2,000.00 on credit.
- 20 Tech Boys bought Keyboards valued at K10,000.00 by cash.
- 25 Tech Boys returned some Keyboards valued at K2,000.00 as they were defective.
- 29 The Accounts Clerk bought a Business Calculator valued at K120.00 by cash.

Task 4

CMC owns a Small Retail business and has employed an Assistant Accountant to help in solving the difficulties faced by a worker with no accounting training, but has been maintaining the Books of Accounts. Therefore, as an Assistant Accountant, you are requested to identifying the Source Documents used in the following Business Transactions:

- i. The payment of Rent of K5,000. 00 by Cheque recorded in the Cash Book.
- ii. Credit Sales of K35,000.00 recorded in the Sales Day Book.
- iii. The payment of 2 bottles of Disinfectant valued at K70.00 recorded in the Petty Cash Book.
- iv. Bought goods on credit for resale worth K40,000.00 recorded in the Purchases Day Book.
- v. Bought Office Furniture K55,000.00 by cash recorded in the Cash Book.
- vi. Received some goods sold on credit from a customer worth K10,000.00 recorded in the Sales Returns Day Book.
- vii. Returned some goods to the Supplier worth K3,000.00 recorded in the Purchases Returns Day Book.

Task 5

EBK owns a small retail shop specialising in general goods. The business' main customers are the two government institutions, i.e., a secondary school and a clinic that are nearby the shop. Each time they buy goods from the shop, they always demand for documentary evidence such as, invoices, receipts, delivery notes etc., the retailer finds it a challenge to differentiate one document from the other and when to use them.

As a Business and Finance Learner, you have been asked to help them identify and explain the source documents used to record in each of the following Books of Prime Entry.

- a) Sales Day Book
- b) Sales Returns Day Book
- c) Purchases Day Book
- d) Petty Cash Book
- e) Purchases Returns Day Book
- f) Cash Book

Task 6

GHY Enterprise a newly established small business had a challenge with its business transactions. The proprietor was failing to know which source documents to use to prepare various Books of Prime Entry. As a person studying Business and Finance you have been requested to identify the type of source documents to use to prepare the Books of Prime from the business transactions below:

- a) Sold goods on Credit to KC at K500.00.
- b) Cash sales K400.00.
- c) Received K300.00 by cheque from KC as part payment
- d) Bought goods from DZ on credit K2,000.00.
- e) Paid cash for cleaning materials K40.00.
- f) We returned goods to DZ worth K200.00 as they were faulty.
- g) Deposited K1,500.00 Cash into the Bank.

1.5.2 Sub – Topic –Types of Books of Prime Entry – Purchases Day Book

Introduction

The Purchases Day Book is one of the Books of Prime Entry where we record all goods bought on credit and are meant for resale. It is also known as a Purchases Journal, Creditors or Bought Journal. The source document used to write up the Purchases Day Book is known as the Original Invoice

Specific Competences

- ☐ Record Business Transactions in the Books of Prime Entry – Purchases Day Book
- ☐ Post Business Transactions to the Ledger



KEY TERMS

- ☐ **Purchases** – Purchases refer to the acquisition of goods for resale.
- ☐ **Credit Purchases** – These are goods bought on credit from suppliers for resale.
- ☐ **Posting** – Making a second entry in the ledger in order to complete the double entry system.
- ☐ **Trial Balance** – It is a list of balances extracted from the Ledger.



LEARNING ACTIVITY 4

Entering Business Transactions in the Books of Prime Entry - Purchases Day Book

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Teacher's Role:

HOOK

Imagine you run a small shop in your neighbourhood. Every week, you buy goods like sugar, cooking oil, and flour from different suppliers **on credit** to sell in your shop. At the end of the month, your supplier asks for payment – but you’ve lost track of who you owe and how much!

Prompt learners with a few questions:

- ☐ *How would you know which suppliers you bought from?*
- ☐ *How could you prove how much you owe them?*
- ☐ *What record would help you track your purchases made on credit?*

Transition into the lesson:

To solve this kind of problem in business, we use a special book called the **Purchases Day Book**. Today, we'll learn what it is, why it's important, and how to prepare one just like a real business owner

Proceed with the lesson.

- ☐ Write a few credit purchases transactions on the board, at least 6 transactions, as shown below:

Kay Gee Limited is a retailer that buys and sells goods both for cash and on credit. They have not kept a proper record of the Books of Prime Entry due to the inefficiencies of the person put in charge. As a qualified Accountant, you have been asked to prepare the Purchases Day Book, for the month of February 2025, from the transactions below:

2025

Feb	1	Bought the following on credit from Choolwe (Invoice Number 0045) 10 Laptops at K6,000.00 each. 100 Desk Calculators at K850.00 each. Less 10% Trade Discount.
Feb	8	Bought goods on credit from Chocha Enterprise worth K50,000.00 (Invoice Number 876); less 20% Trade Discount.
Feb	14	Bought goods from ZXY Limited worth K80,000.00 on credit. (Invoice Number 0047).
Feb	22	Bought the following on credit from Choolwe: 20 Projectors at K5,500.00 each. 50 Anti-Virus discs at K1,300.00 each.

- ❑ Pick the first 2 transactions and demonstrate on how to record them in the Purchases Day Book, taking into account trade discount.
- ❑ Allow learners working in pairs to record the remaining transactions in the Purchases Day Book.

- ☐ Mark the exercise and correct each pair's work, to clear any misconceptions.
- ☐ Give individualized class exercise / home work.

Let learners: -

- ☐ work in pairs and prepare the Purchases Day Book from a list of credit transactions.
- ☐ copy class exercise / home work.



CONTENT TIPS

The following is the format of the Purchases Day Book

TITLE

DATE	DETAILS	INVOICE NO.	SUB-TOTAL		TOTAL AMOUNT	
			K	N	K	N

Note: when drawing the columns, the Details Column must be the widest.

- i. The **Title** of the Book of Prime Entry is written on top of template.
- ii. Date Column- for entering the date when the transaction took place.
- iii. Details Column – for entering particulars of a transaction.
- iv. Invoice Number Column -for cross referencing of the source document number.
- v. Subtotal Column – for entering the monetary value of the unit price.
- vi. Total Amount Column- for entering the monetary value of the Total Amount of a transaction.



LEARNING ACTIVITY 5

Posting Transactions to the ledger

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Teacher's Role:

- ☐ Write a few credit purchases transactions on the board, at least 6 transactions, as shown below:

TT Traders who deals in groceries, had a challenge to establish the total credit purchases

and preparing the Purchases Day Book. You have been engaged as an Accounts Clerk to help them calculate the total credit purchases through the preparation of the Purchases Day Book for the month of January 2025, from the transactions below:

- January 4 Bought goods from Sugar Limited K1,740.00 on invoice number 3678, less 10% Trade Discount.
- 13 Bought goods from Manga Wholesaler K7,600.00 on invoice number 107.
- 21 Purchased the following on credit from Sugar Limited on invoice number 6789:
 30 bags of Mealie Meal at K340.00 each bag.
 50 bags of flour at K405.00 each bag.
 Less 20% trade discount.
- 24 Bought on invoice number 957 100 x 5litres Cooking Oil at K230.00 per 5litres from Kwakwe Solutions.
- 28 Bought the following on credit from Lubala Cooperative on invoice number 0789:
 48 trays of Eggs at K105.00 each tray
 100 packets of Macaroni at K58.00 per packet.

SOLUTION**TT TRADERS'****PURCHASES DAY BOOK**

DATE	DETAILS	INVOICE NO.	SUB-TOTAL		TOTAL AMOUNT	
2025			K	N	K	N
Jan 4	<u>Sugar Limited</u>	3678				
	Goods @ K1,740.00		1,740	00		
	Less: 10% Trade Discount		<u>174</u>	<u>00</u>		
					1,566	00
Jan 13	<u>Manga Wholesaler</u>	107				
	Goods @ K7,600.00				7,600	00
Jan 21	<u>Sugar Limited</u>	6789				
	30 bags of Mealie Meal @ K340.00 each		10,200	00		
	50 bags of Flour @ K405.00 each		<u>20,250</u>	<u>00</u>		
			30,450	00		
	Less: 20% Trade Discount		<u>6,090</u>	<u>00</u>		
					24,360	00

Jan 24	<u>Kwakwe Solutions</u>	957				
	100 X 5 litres Cooking Oil @ K230 per 5 litre				23,000	00
Jan 28	<u>Lubala Cooperative</u>	0789				
	48 Trays of Eggs @ K105.00 each tray		5,040	00		
	100 packets of Macaroni @ K58.00 each pkt		5,800	00		
					<u>10,840</u>	<u>00</u>
Ja 30	Dr. Purchases Account - GL				<u>67,366</u>	<u>00</u>

TT TRADERS'
ACCOUNTS PAYABLE LEDGER
SUGAR LIMITED'S ACCOUNT

DATE	DETAILS	FOLIO	DR		CR	
			K	N	K	N
2025						
Jan 4	Purchases				1,566	00
Jan 21	Purchases				24,360	00
Jan 31	Balance	c/d	<u>25,926</u>	<u>00</u>		
			<u>25,926</u>	<u>00</u>	<u>25,926</u>	<u>00</u>
Feb 1	Balance	b/d			25,926	00

MANGA WHOLESALE'S ACCOUNT

DATE	DETAILS	FOLIO	DR		CR	
			K	N	K	N
2025						
Jan 13	Purchases				7,600	00
Jan 31	Balance	c/d	<u>7,600</u>	<u>00</u>		
			<u>7,600</u>	<u>00</u>	<u>7,600</u>	<u>00</u>
Feb 1	Balance	b/d			7,600	00

KWEKWE SOLUTION'S ACCOUNT

DATE	DETAILS	FOLIO	DR		CR	
			K	N	K	N
2025						
Jan 24	Purchases				23,000	00
Jan 31	Balance	c/d	<u>23,000</u>	<u>00</u>		
			<u>23,000</u>	<u>00</u>	<u>23,000</u>	<u>00</u>
Feb 1	Balance	b/d			23,000	00

LUBALA COOPERATIVE'S ACCOUNT

DATE	DETAILS	FOLIO	DR		CR	
			K	N	K	N
2025						
Jan 28	Purchases				10,840	00
Jan 31	Balance	c/d	<u>10.840</u>	<u>00</u>		
			<u>10.840</u>	<u>00</u>	<u>10.840</u>	<u>00</u>
Feb 1	Balance	b/d			10,840	00

TT TRADERS'**GENERAL LEDGER****PURCHASES ACCOUNT**

DATE	DETAILS	FOLIO	DR		CR	
			K	N	K	N
2025						
Jan 31	Total Accounts Payable		67,366	00		
Jan 31	Balance	c/d			67,366	<u>00</u>
			<u>67.366</u>	<u>00</u>	<u>67.366</u>	<u>00</u>
Feb 1	Balance	b/d	67,366	00		

Accounts Payable Ledger

- ☐ Pick the 2 accounts, one with multiple posting and another with a single posting and demonstrate on how to record them in the Accounts Payable Ledger.
- ☐ Allow learners working in pairs to record the remaining transactions in the Accounts Payable Ledger.
- ☐ Mark the learner's work done in pairs and clear any misconceptions.
- ☐ Give individualized class exercise / home work.

Let learners: -

- ☐ work in pairs and prepare the General Ledger and the Accounts Payable Ledger from the example given.
- ☐ present their work done in pairs
- ☐ copy exercise / homework and continue hands on during free time at school and home.



CONTENT TIPS

Posting to the ledger

The Purchases Day Book Transactions are posted to the Accounts Payable Ledger/Purchases Ledger as follows:

- i. The total value of each Purchases Invoice is posted to the credit side of each Supplier's Account in the Purchases Ledger.
- ii. The total of the Purchases Day Book for the period is posted to the debit side of the Purchases Account in the General Ledger.

The following is the format of the Ledger Account

TITLE

Date	Details	Folio	Debit		Credit	
			K	N	K	N

Note: when drawing the columns, the Details Column must be the widest.

- i. **Title** – for writing the name of the Ledger Account
- ii. **Date Column** – for entering the date when the transaction took place.
- iii. **Details Column** – for entering particulars of a transaction.
- iv. **Folio Column** – for cross referencing of the double effect of a transaction.
- v. **Debit Column** – for entering the monetary value of a transaction.
- vi. **Credit Column** – for entering the monetary value of a transaction.



LEARNING ACTIVITY 6

Extracting the Trial Balance

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Teacher's Role:

- ☐ From the Ledger Accounts in the **Learning Activity 5** above.
- ☐ Working in pairs, allow learners to extract the Trial Balance.
- ☐ Mark the learner's presentations and clear their misconceptions

TT TRADERS'**TRIAL BALANCE****AS AT 30 APRIL 2025**

DETAILS	FOLIO	DR		CR	
		K	N	K	N
Purchases		67,366	00		
Accounts Payable:					
Sugar Limited				25,926	00
Manga Wholesaler				7,600	00
Kwekwe Solutions				23,000	00
Lubala Cooperative				10,840	00
		<u>67,366</u>	<u>00</u>	<u>67,366</u>	<u>00</u>

Let learners:

- ☐ continue working in Pairs and extract the Trial Balance
- ☐ make their presentations
- ☐ copy exercise / homework and continue hands on during free time at school and home.

**CONTENT TIP**

Trial Balance: A list of balances extracted from the ledger accounts.

Purpose of Extracting a Trial:

- ☐ A Trial Balance is prepared in order to:
 - prove arithmetical accuracy of the ledger accounts.
 - check whether double entry has been carried out correctly.
 - Form a basis for Final Accounts preparation.
- ☐ A Trial Balance must balance automatically, i.e. both sides (Debit and Credit) must have equal amounts.
- ☐ It must have a correct title, e.g., *Trial Balance as at 31 March 2025*.

TITLE

Details	F	Debit		Credit	
		K	N	K	N

Note: when drawing the columns, the Details Column must be the **widest**.

- i. Title – for writing heading of the Trial Balance.
- ii. Details Column – for entering particulars of an account from the ledger.
- iii. Debit Column – for entering the monetary value of the total balance brought down from the debit side of the Ledger Accounts.
- iv. Credit Column- for entering the monetary value of the total balance brought down from the credit side of the Ledger Accounts.

Expected Standards

- Business Transactions recorded in the Books of Prime Entry correctly.
- Business Transactions posted to the Ledger correctly.



ASSESSMENT CRITERIA

- ☐ Assess whether learners are able to identify correct transactions to be recorded in the Purchases Day Book
- ☐ Assess learners' ability to explain the importance of a Purchases Day Book
- ☐ Assess whether learners are able to identify correct source document for the Purchases Day Book
- ☐ Assess learner's ability to correctly prepare the Purchases Day Book and post to the Ledger and extract a Trial Balance correctly.

Proposed Tasks for Assessment.

Task 1

Bulonga Stores has had a challenge in knowing exactly how much they were spending on purchases per month, mostly on credit purchases because some of the purchases invoices were not entered or if they were entered, they were entered without trade discount. As the company's new Accounts Assistant, you have been asked to correct the situation by performing the following tasks for the transactions below for the month of January 2025:

- a) Prepare the Purchases Day Book.
- b) Post to the Ledger, and;
- c) Extract a Trial Balance as at 31st January 2025.

January 1 Bought the following on credit from Wata Enterprises (invoice 1103)
 5 boxes of washing soap at K150.00 each box,
 10 cartons of Dish Washing Soap at K100.00 each carton.
 All subject to 10% Trade Discount

January 14 Bought goods on credit from GPD Traders Limited worth K3,500.00, less 5% Trade Discount on invoice number 2305.

January 27 Bought the following on credit from Baba Enterprise: (invoice 023)
 200 Bed Sheets at K300.00 each,
 5 Blankets at K500.00 each.
 All subject to 10% Trade Discount.

Task 2

Palauka Enterprise is a retailer who deals in household and hardware goods. Due to an increase in transactions, they have been faced with the following challenges:

- i. Determining the total Credit Purchases,
- ii. Determining the balances due to individual credit suppliers

Palauka Enterprise has now employed you as an Accountant to help them overcome their challenges by preparing the Purchases Day Book, posting to the Ledger and extracting a Trial Balance having presented you with the transactions below for the month of March 2025.

- March 1 Bought the following on credit from BM Furnitures on invoice number 3404:
10 Office Tables at K12,000.00 each,
10 Executive Chairs at K6,000.00 each.
Less 10% Trade Discount.
- March 15 Bought the following on credit from Chikani Stores on invoice number 5670:
50 Digging Forks at K100.00 each,
16 Wheelbarrows at K1,750.00 each.
All subject to 5% Trade Discount.
- March 29 Bought the following goods on credit from Pepeta Hardware on invoice number 675:
20 Lawn Rakes at K30.00 each,
6 Lawn Mowers at K3 000.00 each.
All subject to 20% Trade Discount.

Task 3

Star Enterprise is a firm in the industry which needs its accounts staff to be oriented on how to maintain the Books of Prime Entry, because their Accountant recently graduated from college and has no experience and sufficient knowledge on how the firm prepares these Books.

Therefore, the business invited the Accounting Firm to orient the Accountant on how to record business transactions. After the orientation the Accountant is presented with the following transactions for the month of January 2025, to prepare the Purchases Day Book, post to the Ledger and extract a Trial Balance:

- January 5 Bought goods K12,000.00 on credit from Joe farm on invoice nuwmber 890
- 6 Bought goods on credit from Aplex farm K14,275.00 on invoice number 002.
- 26 Bought the following on credit from Millers Retailer on invoice number 024:
90 packets of Salt at K70.00 each pack,
100 packets of sweets at K40.00 each,
11 trays of eggs at K110 each.
All subjected to 5% Trade Discount.
- 30 Bought the following on credit from G & G Limited on invoice number 997:
25 Cases of roofing nails at K140.00 each case,
12 tins of Gross paint at K275.00 each.
All subjected to 10% Trade Discount

TASK 4

VXC Traders deals in groceries. AT end of December, 2024, VXC's books showed the following Business Transactions which took place during the same month.

- December 1 Bought 50 boxes of Bath Soap at K220.00 per box on credit from Foloko Enterprise, less 10% Trade Discount under invoice number 007.
- 3 Bought the following on credit from Shangwe Enterprise under invoice number 3456, all subject to 10% Trade Discount.
- 30 containers of 5 litres Cooking Oil at K230.00 per container,
10 cases of Candles at K150.00 per case.
- 10 Bought the following on credit from Aisha General dealers, all subject to 25% Trade Discount, (invoice 1178):
- 150 bales of 2kg Sugar at K82,500.00 for all,
45 boxes of Tooth Paste at K305.00 each box.
- 15 Bought the following on credit from Zed General Dealers on invoice number 7890:
- 25 boxes of Men's Body Lotion at K400.00 per box,
30 tins of Cobra at K40.00 per Tin.
All Subject to 5% Trade Discount.
- 27 Bought the following on credit from Jee Enterprise on invoice number 8907, all subject to 20% Trade Discount:
- 15 boxes of Disinfectants at K550.00 per box,
12 boxes of Detergent Paste at K800.00 per box.

The Business doesn't have an Accounting Personnel, to account for the above transactions.

As a Business and Finance Leaners, you have been engaged by VXC Trader to prepare the appropriate Book of Prime Entry, post to the Ledger and extract a Trial Balance.

Task 5

Mbwete General Dealers has been running as an Agent business, selling Office Furniture obtained mostly on credit from various suppliers. For the past 2 years, there has been an increase in transactions. Having no accounting background, it has been a challenge to account for the increased credit transactions and also the amounts due to individual credit suppliers. It has now become necessary that a qualified accountant is hired to help out with this challenge. You have now been hired as an Accountant to prepare from the following transactions for the month of February, 2025:

- a) Purchases day Book
- b) Post to the Ledger
- c) Extract the Trial Balance

February 5. Bought on credit from Munthu & Company (invoice #356):

- 40 Tables at K6,000.00 per table.
10 chairs at K3,000.00 per chair.

Less 5% Trade Discount.

7 Bought from Mwami Enterprise (invoice #0789):

10 Tables at K3,000.00 per table

20 Chairs at K2,500.00 per chair.

All subject to 10% Trade Discount.

10 Bought from Chipego on credit (invoice #900):

30 Paper Trays at K300.00 per paper Tray

10 Tables at K2,000.00 per table.

All subject to 5% Trade Discount

15 Bought Conference Table for K12,000.00 from Kandolo Enterprise on credit (invoice #4678):

20. Bought from Zovu Traders on credit (invoice #036):

10 small Tables at K1,000.00 per table

2 Revolving Chairs at K1,760.00 per chair

Task 6

TMN Enterprise a newly formed retail shop, seeks your accounting services for the month of November, 2024, as the firm has not yet employed a full time Accounts Officer, though business operations have started without one. The problem they have now, is to establish the credit purchases and the amounts owed to their suppliers.

You are required to assist them in establishing the total credit purchases and the individual Creditors' balances, through the preparation of the Purchases Day Book, posting to the Ledger and extracting a Trial Balance:

5 th November	Received an Invoice number 1030 from JBM Wholesalers for the following: 12 cases of Mineral Water at K36.00 per case, 6 cases of Soft Drinks at K120.00 per case. All subject to 5% Trade Discount.
11 th November	Receive an invoice number 3590 for the following from GSH Hardware: 16 by 20 litres White Paint at K270.00 per 20 litre. 12 by 20 Litres Sky Blue Paint at K280.00 per 20 litre container. 20 by 5 Litre Undercoat Paint at K150.00 per 5 litre tin.
19 th November	Bought on credit from MSM Poultry on invoice number 09768: 100 Broiler Chickens at K90.00 each chicken, less 10% Trade Discount.
25 th November	Got an Invoice number 657 from GSH Hardware with the following details: 20 Slashers at K100.00 each 31 Hoes at K100.00 each 45 Rakes at K60.00 each

Task 7

Mweemba a retailer has had a challenge of knowing how much the business owes its suppliers because the Accounts Department has not been keeping proper records of credit transaction, which has made it difficult for the business to determine the total credit purchases and the balances of individual credit suppliers. Due to the challenges faced, the business has decided to employ an additional worker to handle the credit purchases thereby requesting the worker to prepare the Purchases Day Book, post the credit purchases to the Ledger and extract a Trial Balance, for the month of January 2025 from the transactions below:

- January 5 Bought goods on credit from Temwini worth K24, 500.00. less 10% Trade Discount (invoice #790).
- January 10 Bought on credit from Siame (invoice #906):
 20 cartons of Sweets at K400.00 each carton,
 30 bags of Salt at K500.00 each bag,
 45 bags of Rice at K150.00 each bag.
 All subject to 15% Trade Discount.
- January 20 Received an Invoice number 1248 from Mubita for:
 10 Camp Chairs at K400.00 for all,
 10 Bales of Sugar at K560.00 each bale;
 15 crates of Soft Drinks at K150.00 each crate.
- January 26 Received an Invoice number 0856 from Mwiya for the following:
 200 Trays of eggs at K85.00 per tray,
 60 cases of soft drinks at K90.00 each case.
 All subject to 10% Trade Discount.

1.5.3 Sub-Topic: Types of Books of Prime Entry - Purchases Returns Day Book

Introduction

The Purchases Returns Day Book is also known as the Returns Outwards Journal or Returns Outward Day Book or Purchases Returns Journal. This is a Book of Prime Entry where goods that were once bought but later returned due to various reasons such as wrong colour, wrong order, wrong sizes etc., are recorded. This book is important because it contains a record of purchases returned (goods returned to suppliers). This book is prepared from the source document known as the Original Credit Note.

Specific Competence

- ☐ Record Business Transactions in the Books of Prime Entry - Purchases Returns Day Book.
- ☐ Post Business Transactions to the Ledger

**KEY TERMS**

- ☐ Purchases Returns – Goods that were bought and now returned to the Seller.



LEARNING ACTIVITY 6

Entering Business Transactions in Books of Prime Entry- Purchases Returns Day Book.

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – learners work in pairs

Learning Environment: Classroom

Teacher's Role:

- ❑ Write a few credit purchases returns transactions on the board at least 2 as shown below:

TT Traders Limited had some debtors that returned goods during the month of January 2025. They have not kept a proper record of the Books of Prime Entry due the inefficiency of the person put in charge. You have been requested as a qualified Accountant to prepare the Purchases Returns Journal from the transactions below:

- January 7 Returned to Sugar Limited goods worth K700.00, they were initially bought with a 10% Trade Discount, as they were expired (Credit Note number 0015).
- 15 Returned goods to Manga wholesalers worth K600.00, as wrong colour (Credit Note Number 0021).
- 23 Returned 3 bags of Mealie Meal to Sugar Limited at K340.00 per bag, as they were underweight, they had a Trade Discount of 20% (credit Note Number 0034).
- 29 Returned to Lubala Cooperative 5 packets of Macaroni at K58.00 as a result of wrong order (Credit Note Number 0047).

TT TRADERS'

PURCHASES RETURNS DAY BOOK

DATE	DETAILS	CREDIT NOTE NO.	SUB- TOTAL		TOTAL AMOUNT	
2025			K	N	K	N
	<u>Sugar Limited</u>	0015				
Jan.7	Goods worth K700.00 (expired)		700	00		
	Less: 10% Trade Discount		<u>70</u>	<u>00</u>		

					630	00
Jan. 15	<u>Manga Wholesalers</u>	0021				
	Goods worth K600.00 (wrong colour)				600	00
Jan. 23	<u>Sugar Limited</u>	0034				
	3 bags of Mealie Meal @ K340.00 per bag (underweight)			1 020	00	
	Less: 20% Trade Discount			204	00	
					816	00
	<u>Lubala Cooperative</u>	0047				
Jan. 29	5 packet Macaroni @ K58.00 each, (wrong order)				290	00
Jan. 31	Cr. Purchases Returns Account- General Ledger _				2 336	00

- ☐ Pick the first 2 transactions and demonstrate on how to record in the Purchases Returns Journal.
- ☐ Allow learners working in pairs to record the remaining transactions in the Purchases Returns Journal.
- ☐ Mark the exercise and correct each pair's work to clear any misconceptions.
- ☐ Give individualised class exercise/home work.

Let learners:

- ☐ work in pairs and prepare the Purchases Returns Journal
- ☐ copy homework and continue hands on during their free time.



CONTENT TIP

The following is the format of the **Purchases Returns Day Book**

TITLE

Date	Details	Credit Note No.	Subtotal		Total Amount	
			K	N	K	N

Note: when drawing the columns, the Details Column must be the widest.

- vii. The **Title** of the Book of Prime Entry is written on top of the template.
- viii. Date Column- for entering the date when the transaction took place.
- ix. Details Column – for entering particulars of a transaction.
- x. Credit Note Number Column -for cross referencing of the source document number.
- xi. Sub-total Column – for entering the monetary value of the unit price.
- xii. Total Amount Column- for entering the monetary value of the Total Amount of a transaction.



LEARNING ACTIVITY 5

Posting transactions to the Ledger.

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Teachers Role:

- ☐ Refer to the **Learning Activity 4** to post transactions to the Ledger.
- ☐ Pick the first part you once demonstrated on and post it to the Purchases Ledger and also show how the Purchases Returns account may appear in the General Ledger.

Solution

TT TRADERS' ACCOUNTS PAYABLE (PURCHASES) LEDGER

SUGAR LIMITED'S ACCOUNT

DATE	DETAILS	F	Dr		Cr	
			K	N	K	N
2025						
Jan. 7	Purchases Returns		630	00		
23	Purchases Returns		816	00		
31	Balance	c/d			1,446	00
			1,446	00	1,446	00
Feb. 1	Balance	b/d	1,446	00		

MANGA WHOLESALER'S ACCOUNT

DATE	DETAILS	F	Dr		Cr	
			K	N	K	N
2025						
Jan. 15	Purchases Returns		600	00		
31	Balance	c/d			600	00
			600	00	600	00
Feb. 1	Balance	b/d	600	00		

LUBALA COOPERATIVE ACCOUNT

DATE	DETAILS	F	Dr		Cr	
			K	N	K	N
2025						
Jan. 29	Purchases Returns		290	00		
31	Balance	c/d			290	00
			290	00	290	00
Feb. 1	Balance	b/d	290	00		

TT TRADERS'
GENERAL LEDGER

PURCHASES RETURNS ACCOUNT

DATE	DETAILS	F	Dr		Cr	
			K	N	K	N
2025						
Jan. 31	Sundry Creditors				2,336	00
31	Balance	c/d	2,336	00		
			2,336	00	2,336	00
Feb. 1	Balance	b/d			2,336	00

- ☐ Allow learners while working in pairs, to post the remaining part of the Purchases Returns Journal to the Ledger.
- ☐ Mark their work and clear any learners' misconceptions.

Let learners:

- ☐ working in pairs Post the Purchases Returns Day Book to the appropriate Ledgers i.e., the Purchases Ledger and the General Ledger.
- ☐ Submit their work for marking.
- ☐ copy class exercise/home work.



CONTENT TIPS

- ☐ Rules for posting the transactions from the Purchases Returns Journal to the Ledger:
 - Debit all the Accounts Payable (Creditors Accounts) in the Purchases Ledger with the total amounts returned.
 - Transfer the total of the Purchases Returns Journal to the credit side of the Purchases Returns Account in the General Ledger, this completes the double entry system.



LEARNING ACTIVITY 5

Extracting the Trial Balance.

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Teachers Role:

- ☐ Refer the learners to the previous work done in Learning Activity 5 i.e., posting transactions to the Ledger.
- ☐ Pick one item and demonstrate on how the extraction of the Trial balance is done.

TT TRADERS' TRIAL BALANCE AS AT 31ST JANUARY 2025

DETAILS	F	Dr		Cr	
		K	N	K	N
Purchases Returns				2,336	00
Accounts Payables:					
Sugar limited		1,446	00		
Manga Wholesalers		600	00		
Lubala Cooperative		290	00		
		2,336	00	2,336	00

- ☐ Allow the learners to finish extracting the Trial Balance from the remaining items and balance it up.
- ☐ Mark learners' books and clear any misconceptions.

- ☐ Give home work.

Let learners:

- ☐ work in pairs and finish extracting the Trial Balance.
- ☐ make necessary corrections if any.
- ☐ copy class exercise/home work

Expected Standard

- Business Transactions recorded in the Books of Prime Entry correctly.
- Business Transactions posted to the Ledger correctly.



ASSESSMENT CRITERIA

- ☐ Assess whether learners are able to identify correct transactions to be recorded in the Purchases Returns Journal.
- ☐ Assess learners' ability to explain the importance of a Purchases Returns Journal.
- ☐ Assess whether learners are able to identify correct source document for the Purchases Returns Journal.
- ☐ Assess learner's ability to correctly prepare the Purchases Returns Journal and post to the Ledger and extract a Trial Balance.

Proposed Tasks for Assessment.

TASK 1.

EMK the sole Proprietor was advised during a business meeting by another business owner, to hire a person with Accounting background to assist the Trader (EMK) resolve the challenge of non- preparation of Books of Prime Entry that would help the business establish the value of purchases returned. The business was also failing to prepare Ledger Books and come up with a well arranged and organised list of Ledger Balances. As a Business and Finance learner, who is good at Principles of Accounts, you have been hired to prepare the Purchases Returns Day Book, post to the appropriate Ledger Books and extract a Trial Balance from the business transactions given below:

2025

- | | |
|-----------|--|
| January 8 | Returned 10 Plastic buckets to Juliana Suppliers that were bought on credit at K45.00 each as they were damaged (Credit Note Number 0088). |
| 16 | Returned 80 blankets to Livingstone Bulk Stores that were bought on credit at K500.00 per blanket as they had wrong colours (Credit Note Number 0120). |
| 24 | Returned 4 fans to Techno Wholesalers that were bought on credit at K820.00 each as they were faulty (Credit Note Number 0129). |

TASK 2.

J P Limited had some debtors that returned goods during the month of March 2025. They have not kept a proper record of the Books of Prime Entry due the inefficiency of the person put in charge. You have been requested as a qualified Accountant to prepare the Purchases Returns

Journal, post to the Ledgers and extract a Trial Balance, from the transactions below:

- 1st March Returned goods worth K4,000.00 to Chilanga Enterprise, as underweight goods. They were initially bought at a discount of 5% (Credit Note Number 0005).
- 10th March Returned goods worth K600.00 to Mpelembe Wholesalers, due to wrong size (Credit Note Number 0019).
- 15th March Returned 5 Shirts that were costing K125.00 each to Mpamba & Sons due to wrong colour (Credit Note Number 0049).

TASK 3

TJ Enterprises often buys goods on credit from various suppliers of goods. However, some goods bought on credit have been found with faults, making it possible for the business to return the goods back to the suppliers. Unfortunately, the business did not have a qualified person in handling credit transactions of the business. Therefore, the business employed an Accountant to specifically resolve the problem on Day Books and was tasked to prepare the Purchases Returns Day, post to the Ledger and extract a Trial Balance from the transactions below:

- 15 April Returned 20 cases of soft drinks to Choongo worth K2,500.00 as damaged in transit. less 5% Trade Discount (Credit Note Number 011).
- 20 April Received a Credit Note No. 234 from Nkumbu for 10 Bales of sugar at K500.00 each as they were soaked in transit. Subject to 10% trade discount (Credit Note Number 025).
- 25 April Returned to Zulu (Credit Note Number 050):
2 bales of sugar at K580.00 each,
5 crates of soft drinks at K80.00 each.
The goods were not as ordered.
- 30 April Received a (Credit Note No. 435) from Mubiana:
50 T- shirts at K70.00 each,
20 pairs of shoes at K100.00 each, as they were wrong size.

TASK 4

You have been employed as an Accountant at Paka Stores a retail business, and you are responsible for recording purchases returns transactions in the Purchases Returns Day Book. You discovered that Paka Stores purchased a number of goods on credit in the month of December 2024. However, upon Inspection, it was discovered that a number of items were defective and damaged and returned them to the respective Suppliers. The concerned Suppliers issued Credit Notes for the returned goods. They did not know how to use the Credit Note they received from their Suppliers and never maintained the Purchases Returns Day Book. You are now tasked to prepare the Purchased Returns Day Book from the transactions below and Credit Notes available, then post to the Ledger and extract a Trial Balance as at 31 December, 2024:

- Dec 2 Returned goods to Kad Limited as defective worth K20,000.00, with Trade

Discount of K2,000.00 (Credit Note number 0098)

Dec 18 Returned the following on credit to Kabidu Wholesalers as damaged (Credit Note number 143):

10 Boxes of Juice at K1,000.00 per box.

20 Trays of Eggs at K120.00 per tray

The above were subjected to 10% Trade Discount.

Dec 22 Goods that were bought on 1 December 2024 were returned to Kalanga as damaged worth K10,000.00 (Credit Note number 152)

TASK 5

Maccha Retailers had problems to understand the entries done in the Purchases Returns Day Book by the Book keeper of the Business. The retailer decided to hire a qualified Accountant to help the business learn how to prepare the Purchases Returns Day Book, Ledger Books and Trial Balance from the following Business Transaction that took place in February, 2025.

February 9 Returned 2 cases of Milk costing K120.00 a case (Credit Note No. 008), as damaged in transit.

19 Returned to Chuulu 4 crates of Fanta (Credit Note No. 014) as wrongly packed each costing K115.00 and all less 10% Trade Discount.

25 Returned to Mbuzi Farm shop (Credit Note No. 034)

5 packet of soya chucks at K700.00,

4 packets of sweets at K40.00 each

10 trays of eggs at K110.00 each

All subject to Trade Discount of 10%. The goods bought were unsatisfactory, some damaged and of poor quality.

26 Returned goods to Gapex worth K3,950.00 (Credit Note No. 055) due to poor Quality.

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Harison S. and Milner D. (2015) Business Revision Guide Hodder Education, a Hachette UK Company House, 50Victoria Embarkment London.

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Elliott B and Elliott J. (2011), Financial Accounting and Reporting, England.

APPENDIX 1: SAMPLE LESSON PLAN.

SAMPLE LESSON PLAN

NAME OF TEACHER:

DATE: 13/ 05/ 2025

CLASS: Form 1 A

DURATION: 80 Minutes

TIME: 08:20-09:40

Enrolled Boys: ... Girls: ... Total: ...

SUBJECT: PRINCIPLES OF ACCOUNTS

Present: Boys: 21 Girls: 29 Total: 50

TOPIC: Books of Prime Entry

SUB-TOPIC: Types of Books of Prime Entry

SPECIFIC COMPETENCES: Record Business Transactions in the Books of Prime Entry

LEARNING ACTIVITY:

1. Identifying Books of Prime Entry
2. Explaining Books of Prime Entry

METHODOLOGY: Group Discussion

RATIONALE: To provide an accurate record to help in financial reporting and enable financial analysis.

PRIOR KNOWLEDGE: Ledger Books and learners' experiences about basic business operations.

REFERENCES:

- Term Two, Principles of Account, Scheme of Work.
- 2024 Commerce and Principles of Accounts Secondary Education Ordinary Level Syllabus-Form 1-4 page....
- 2025 Principles of Accounts Form 1 Teaching Module Term 2 page....
- Complete Accounts for Cambridge Ordinary Level and IGCSE
- Business Accounting Volume 1

LEARNING ENVIRONMENT

Artificial Environment: (Class Room)

TEACHING AND LEARNING MATERIALS/RESOURCES: Chart, Accounts Text Books, Pens /Markers e.t.c.

EXPECTED STANDARD: Business Transactions recorded in the Books of Prime Entry correctly.

LESSON PROGRESSION:

STAGES	TEACHER'S ROLE	LEARNERS' ROLE	ASSESSMENT CRITERIA
INTRODUCTION 10 Minutes	- Randomly pick learners one after the other and narrate the following: “you are a cashier and you have received K10.00 for payment of Jiggies” “you are a seller you have just sold a phone worth K900.00 on credit to Lubona” “you have bought exercise books on credit K100.00” - Ask the following: - Who remembers what has just transpired? - Who still owes us money? - Who do we still owe money? - Explains the importance of record keeping.	- Observe and listen quietly - Answer questions orally	Oral questions
LESSON DEVELOPMENT 15 Minutes	- On a chart draw a table as in table 1 of the module on types of books of prime entry. - Display the chart.	- Participate in: - drawing the table on a chart, - Displaying the chart.	Observe learner's participation.
5 Minutes	Divide the learners in groups	- Be in assigned groups - Choose group chair persons and secretaries.	Observe learner's participation
15 Minutes	- Give the scenario to each group on pieces of paper - Monitor group discussions - Clear any learners' misconceptions	- Identify the book of Prime entry for each transaction - Explain each book of prime entry identified	Group presentation (Assess whether learners are able to identify books of prime entry). Group presentation (Assess learner's ability to explain each book of prime entry).

EXERCISE /AP-PLICATION 25 Minutes	● From the proposed tasks for assessment in the teaching module for term 2 give: ➤ Class Exercises, ➤ Give feedback by marking learners' exercise books.	Copy and answer the given tasks	Class exercises (Assess individual learners' ability in identifying books of prime entry). Class exercises (Assess individual learner's ability in explaining each book of prime entry).
CONCLUSION 10 Minutes	With reference to the table make a brief summary of the Books of Prime Entry.	● Listening ● Clearing own misconceptions (Make corrections).	● Observations.

HOMEWORK:

- ☐ Give learners Task..... As from the teaching module page as Home Work.

LESSON EVALUATION:

- ☐ **Successes of the lesson** – Out of 50 learners, 40 were able to identify the Books of Prime entry correctly.
- ☐ **Challenges of the lesson** – 10 learners had challenges in explaining the Books of Prime entry.
- ☐ **Follow up Action** – give remedial work to the learners with challenges and keep a record for tracking their break through